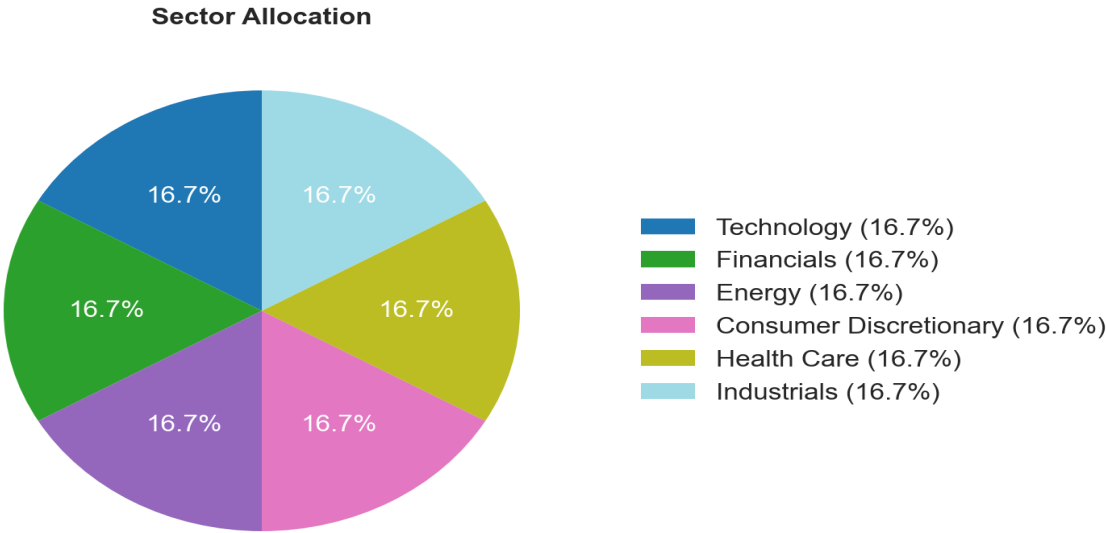


Portfolio rotation report

Date of extraction	2025-12-08 21:04
Data window	2025-09-02 → 2025-11-28
Frequency	Daily — 63 observations. Sufficient depth: short- and long-term indicators are statistically reliable.
Tickers	XLE, XLF, XLI, XLK, XLV, XLY
Indicators	Short term: 6 days volatility, 12 days return, 18 days momentum Long term: 15 days volatility, 24 days return, 54 days momentum

1. Portfolio Composition

- XLK (Technology Select Sector SPDR Fund — Technology)
- XLF (Financial Select Sector SPDR Fund — Financials)
- XLE (Energy Select Sector SPDR Fund — Energy)
- XLY (Consumer Discretionary Select Sector SPDR Fund — Consumer Discretionary)
- XLV (Health Care Select Sector SPDR Fund — Health Care)
- XLI (Industrial Select Sector SPDR Fund — Industrials)



Macro Profile Insight

Macro coverage

- Balanced diversification: exposure to most macroeconomic drivers.

Sectorial biases

- Concentration risk: strong bias toward large caps, stability achieved at the cost of diversity.

Structural properties

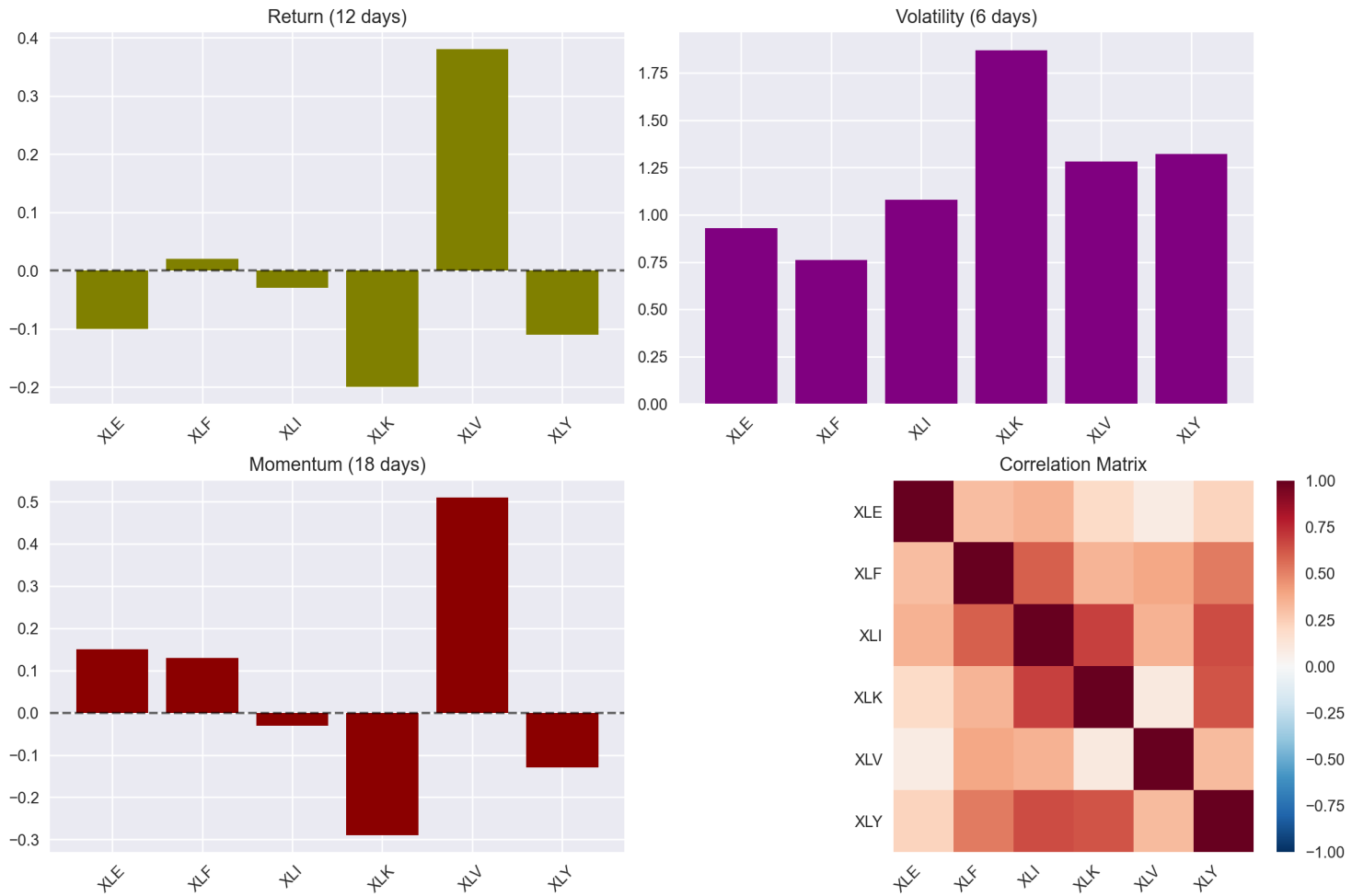
- Concentration risk: portfolio heavily exposed to etf instruments.
- Liquidity stance: pockets of thin/illiquid names; robust median dollar volume.
- Market-neutral beta exposure: close alignment with index dynamics.
- Volatility profile skewed to dynamic/speculative names.

Additional comments

- Significant sector gaps: broad portions of the economy remain uncovered.

2. Sector Performance Visualization

Sector Performance Dashboard



Overall, average cross-sector correlation was 0.38, ranging from 0.08 to 0.68. This suggests elevated co-movement — diversification benefits are partially reduced. Correlation dispersion remains meaningful, indicating both tightly and weakly linked sectors. Strongest co-movement between XLI and XLK (0.68); weakest between XLE and XLV (0.08). Mixed regime: both market-wide and sector-specific forces are at play.

Top Positive Correlations

73.3% of portfolio

Pair	Correlation
XLI / XLK	0.68
XLI / XLY	0.65
XLK / XLY	0.63
XLF / XLI	0.6
XLF / XLY	0.52

Top Neutral Correlations

26.7% of portfolio

Pair	Correlation
XLE / XLV	0.08
XLK / XLV	0.1
XLE / XLK	0.19
XLE / XLY	0.22

3. Key Performance Indicators

3.a Current Regime Snapshot

Ticker	R (%)	V (%)	RAR	M (%)	Signal	Regime	Liquidity	Commentary
XLE	-0.10	0.93	-0.106	0.15	neutral	subdued	liquid	recovering momentum despite recent losses, signal unclear or in transition, low volatility — calm market tone, with ample liquidity.
XLF	0.02	0.76	0.025	0.13	neutral	subdued	thin	mixed short-term dynamics, signal unclear or in transition, low volatility — calm market tone, under limited liquidity.
XLI	-0.03	1.08	-0.027	-0.03	neutral	subdued	thin	mixed short-term dynamics, signal unclear or in transition, low volatility — calm market tone, under limited liquidity.
XLK	-0.20	1.87	-0.104	-0.29	neutral	normal	thin	mixed short-term dynamics, signal unclear or in transition, normal volatility regime, under limited liquidity.
XLV	0.38	1.28	0.295	0.51	neutral	normal	thin	mixed short-term dynamics, signal unclear or in transition, normal volatility regime, under limited liquidity.
XLY	-0.11	1.32	-0.082	-0.13	neutral	normal	thin	mixed short-term dynamics, signal unclear or in transition, normal volatility regime, under limited liquidity.

Top by Average Return

Ticker	AvgReturn(%)
XLV	0.38
XLF	0.02
XLI	-0.03
XLE	-0.1
XLY	-0.11

Top by Volatility

Ticker	Volatility(%)
XLK	1.87
XLY	1.32
XLV	1.28
XLI	1.08
XLE	0.93

Top by Momentum

Ticker	Momentum(%)
XLV	0.51
XLE	0.15
XLF	0.13
XLI	-0.03
XLY	-0.13

Last by Average Return

Ticker	AvgReturn(%)
XLK	-0.2
XLY	-0.11
XLE	-0.1
XLI	-0.03
XLF	0.02

Last by Volatility

Ticker	Volatility(%)
XLF	0.76
XLE	0.93
XLI	1.08
XLV	1.28
XLY	1.32

Last by Momentum

Ticker	Momentum(%)
XLK	-0.29
XLY	-0.13
XLI	-0.03
XLF	0.13
XLE	0.15

3.b Rotation & Stress Metrics

Ticker	ΔReturn (pp)	Momentum Ratio	Signal	Volatility Ratio	Beta	ADV10 USD	Interpretation
XLE	-0.21	1.50	0.06	0.79	0.80	28.61 M	stable performance, momentum strengthening, volatility compressing, aligned with market dynamics, under thin liquidity regime.
XLF	-0.08	-1.30	-0.057	0.80	0.83	36.84 M	stable performance, momentum fading, volatility compressing, aligned with market dynamics, under thin liquidity regime.
XLI	0.07	-0.30	-0.023	1.22	0.87	10.80 M	stable performance, momentum fading, volatility expanding, aligned with market dynamics, under thin liquidity regime.
XLK	-0.08	-2.70	-0.078	1.14	1.32	16.33 M	stable performance, momentum fading, volatility normalizing, aligned with market dynamics, under thin liquidity regime.
XLV	0.06	1.88	0.177	1.25	0.48	15.05 M	stable performance, momentum surging, volatility expanding, aligned with market dynamics, under thin liquidity regime.
XLY	-0.01	1.30	0.057	0.96	1.14	10.20 M	stable performance, momentum strengthening, volatility normalizing, aligned with market dynamics, under thin liquidity regime.

■ Light-impact observations

For **XLE, XLF, XLI**: *Volatility compression* — subdued volatility; a breakout setup may be forming. (avg ann. return -0.0%, momentum 0.1%, vol 0.9%)

For **XLK, XLV, XLY**: *Range / noise* — no clear direction; rotating momentum and mid-range volatility. (avg ann. return 0.0%, momentum 0.0%, vol 1.5%)